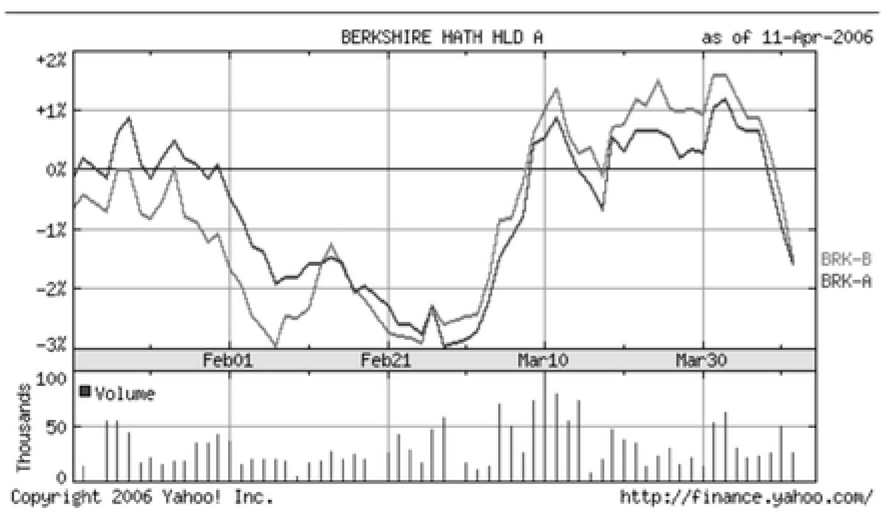
BRK.B shares at the discretion of the holder at any time. However, the holder cannot do the reverse.

Based on these facts, these two stocks should trade in lockstep with each other—or perhaps BRK.B ought to trade at a very slight discount due to its inferior voting rights and one-way conversion features.

However, reality is different. As Figure 11.1 shows, during a recent three-month period, BRK.B traded mostly at a discount to BRK.A for a few weeks and then traded at a premium for a few weeks. On some days, the two stocks differed by up to 1 percent. Assuming minimal frictional costs, an arbitrageur could endeavor to capture that spread.

Figure 11.1 BRK.A versus BRK.B Price Movements from January 13, 2005, to April 12, 2006



This type of arbitrage exists in a variety of stocks. Sometimes holding company stocks trade at a discount to a sum of the parts even if the parts are individually publicly traded. Sometimes the same stock on different exchanges can have price differences. Closed-end funds from time to time trade at significant discounts to their underlying assets. All are candidates for arbitrage plays.